You might think that selling stock, so important to the total return of any portfolio, was a well-understood science. *You would be wrong.* Instead, asset managers often lack a sound analytical framework for selling, using crude rules of thumb or gut instinct, neither of which has a good record for creating outperformance. Indeed, the most common reason to sell is to free up capital to buy the next great investment idea. This effort to chase stocks or other assets that look hot has been a recipe for disaster, both for returns and the active-management business model in general.

Of course, simply selling holdings at random is a methodology that seems unlikely to be accepted by institutions or paid for by investors.

This study is intriguing because the methodology used is both robust and clever: The data set contained the daily holdings and trades of 783 portfolios, with an average value of about $573 million. The researchers then evaluated more than 89 million trading data points and 4.4 million trades. The study encompassed the years between 2000 and 2016—a period that included at least two major market crashes, and two recoveries, one modest and the other significant for its duration. That avoids the common issue of a cherry-picked era. Overall, the research looked at 2 million sells and 2.4 million buys made by veteran institutional portfolio managers.

The clever part comes in how the researchers evaluated performance. Rather than comparing the portfolio returns to a benchmark, the study created what the authors call a counterfactual sell portfolio. Whenever the actual portfolio manager would sell a security, the counterfactual portfolio would sell a different, randomly selected security.

The result was rather astonishing: A random sale of other holdings *consistently outperformed* the one selected for sale by the manager—and by a fairly wide amount.

The counterfactual portfolio with the random sells outperformed the portfolio with managed sells by 50 to 100 basis points over the course of